

Doce Perdição

An Iberian Café

Business Plan

Portuguese Pastries. Spanish Coffee. One Iberian Soul.

June 2026

Confidential

1. Executive Summary

Doce Perdição is an Iberian café that brings Portuguese and Spanish food culture into one space. The concept is built around a partnership with the Doce Perdição bakery, a family owned Portuguese bakery that produces authentic pastries and sweets. The café adds Spanish coffee preparations, in house Iberian food, and a warm Mediterranean atmosphere that does not exist in the UK high street coffee market.

The UK coffee shop market turned over £6.8 billion in 2024/25 and continues to grow at 5.5% year on year. That is a large market, but it is also a crowded one. Costa, Starbucks, Caffè Nero, and Pret dominate the branded segment. Independent cafés compete in their gaps. Almost all of them serve the same drinks, from the same machines, in the same grey and industrial interiors. The market is big, but it is boring.

Doce Perdição offers something genuinely different. A Pastel de Nata warming in a glass cabinet. A Bica pulled in the Portuguese style. Churros con Chocolate made fresh in house. Azulejo tiles on the wall and fado playing quietly in the background. This is not a rebrand of the same cappuccino. It is a different product entirely.

The plan is to open a pilot café on the outskirts of Epsom, Surrey, where rents are lower and competition from chain coffee shops is thinner. Epsom has a population of roughly 83,000 and sits within easy reach of London by train. The outskirts offer commercial rents in the range of £1,200 to £1,800 per month for a 600 to 800 square foot unit. That is manageable for a bootstrapped launch.

If the Epsom location proves consistently profitable over four years, the plan allows for a second site in London from Year 5. The target would be a multicultural area such as Stockwell (known locally as Little Portugal), Brixton, or Peckham. These are areas with existing Portuguese and Spanish communities and strong independent food scenes.

Startup costs are estimated at £72,500 for the Epsom unit. The financial model is deliberately conservative. Year 1 projects 55 customers per day on average, rising to 90 by Year 3. Break even is expected around Month 10 to 12. Net profit in Year 1 is modest at best. This is by design. If the café outperforms these numbers, that is a real achievement against a prudent plan. If it only meets them, it still survives.

2. Mission and Vision

The mission is simple. Bring genuine Iberian coffee and food culture to the UK in a way that feels real, not themed. The café should feel like stepping into a neighbourhood pastelaria in Lisbon or a corner café in Seville. Not a British imitation of one.

The vision is a small chain of Iberian cafés across London and the South East, each rooted in the same partnership with the Doce Perdição bakery. The bakery provides the quality control and authenticity that would be impossible to replicate with a central kitchen or frozen supply chain. Growth is slow and deliberate. No franchising. No outside investors dictating pace. Each new site opens only when the previous one has proved itself.

3. The Concept

Doce Perdição sits at the intersection of two food cultures that share a border but rarely share a menu in the UK. Portuguese cafés exist in London (Lisboa Patisserie in Notting Hill, Café de Nata with eight locations by 2026, Café Madeira in Vauxhall). Spanish tapas restaurants are common. But a café that blends both traditions into a single Iberian experience is genuinely rare.

The café is not a restaurant. It is a coffee shop with food. The primary revenue driver is coffee, served in both Portuguese and Spanish styles that most UK customers have never tried. The secondary driver is food, split between Portuguese pastries supplied by the bakery and Spanish items prepared in house.

The partnership model is the structural advantage. The bakery already exists and already has skilled Portuguese pastry bakers. The café does not need to recruit specialist pastry staff on the open market (which is expensive and difficult). Instead, the bakery's own bakers come to the café's kitchen each morning and produce everything fresh on-site. That keeps product quality high, gives the café the incredible smell of fresh baking, and keeps the partnership simple. The café provides the kitchen. The bakery provides the skill.

The atmosphere does the rest. This is not a grab and go operation. The interior is designed to make people sit down, stay, and come back. Warm terracotta tones, azulejo tile feature walls, natural wood furniture, the smell of fresh pastries and ground coffee. The goal is that a customer walks in and immediately feels somewhere else.

4. The Problem

The UK drinks roughly 98 million cups of coffee per day. The branded coffee shop market alone turns over £6.1 billion. There are over 12,000 branded coffee outlets and thousands more independents. Competition is fierce.

But fierce competition does not mean diverse competition. Walk into most UK coffee shops and you see the same thing. The same espresso based menu. The same pastry cabinet stocked by the same wholesale supplier. The same grey walls, exposed brick, and Edison bulb lighting. The product is interchangeable. Costa and Starbucks and Caffè Nero are functionally the same experience in different cups.

Independent cafés try harder, but most still compete on the same axis. Better beans. Better latte art. A slightly nicer space. They are better versions of the same thing.

What almost none of them offer is a genuinely different food and drink culture. There is no Portuguese style espresso on British high streets. No Galão served in a tall glass. No Café Bombón with condensed milk. No Pastel de Nata made fresh that morning by a real Portuguese baker. These products exist in Lisbon and Madrid. They exist in a handful of specialist shops in London. They do not exist in Epsom, or Guildford, or Woking, or any of the commuter towns where people are quietly bored of their Costa flat white.

That gap is the opportunity.

5. The Partnership

Doce Perdição is a real Portuguese bakery. It is family owned and produces authentic Portuguese pastries and sweets. The bakery is the foundation of this business plan. Without it, the café would be just another independent coffee shop trying to bake its own goods with varying results.

The partnership works on an on-site production model. Doce Perdição bakers come to the café's kitchen each morning and bake fresh Portuguese pastries on the premises. The café provides the kitchen space and baking equipment. The bakery provides the skilled bakers, the recipes, and the knowledge. The café pays the bakery a service fee that covers baker wages and bakery margin. This is cleaner than a revenue share because both sides have predictable economics.

Supply Terms

Bakery pastry COGS are modelled at 47% of retail price. This covers the raw ingredients (flour, eggs, butter, sugar, cream) plus the bakery's service fee for providing the bakers. That is higher than pure ingredient cost alone, but it is fair to the bakery and reflects the value of their skill and labour. A 47% COGS still leaves a 53% gross margin on pastries, which is healthy for a café. The bakery gets a reliable income stream. The café gets fresh baked products it could not make without their expertise.

Baking happens on-site each morning, starting at 6am before the café opens at 7am. Pastéis de Nata, Bolas de Berlim, and croissants are baked fresh daily. Items with longer shelf life (Queijadas, Travesseiros) are baked in larger batches two to three times per week. The result is that customers walk into a café that smells of freshly baked pastries and ground coffee. That is marketing no advertising budget can buy.

Why This Works

The partnership handles the two hardest problems in opening a food café. First, it provides skilled pastry bakers without the café needing to recruit them independently (Portuguese pastry baking is a specialist skill that is difficult and expensive to hire for). Second, it guarantees product quality from day one. The bakery already has years of experience making these products. The recipes are proven. The bakers are trained. There is no learning curve.

The risk it introduces is dependency. If the bakery's bakers cannot come in (illness, staffing issues, any disruption), the café cannot produce its most distinctive products that day. The mitigation is the family relationship, which provides better alignment and communication than a commercial arrangement. A secondary mitigation is cross-training café staff on the simpler recipes (croissants, Tosta Mista) so that basic items can still be offered if the bakery bakers are unavailable.

6. Menu and Pricing

The menu is designed around three principles. Authenticity (every item should be genuinely Iberian, not an approximation). Accessibility (prices should be comparable to independent coffee shops, not premium or exclusive). Simplicity (a focused menu that the team can execute well, not a sprawling one that stretches quality thin).

Coffee

Drink	Style	Price
Bica	Portuguese espresso	£2.50
Pingado	Espresso with a drop of milk	£2.70
Galão	Tall glass, mostly milk	£3.50
Meia de Leite	Half coffee, half milk	£3.30
Café com Cheirinho	Espresso with aguardente	£4.50
Café con Leche	Spanish coffee with hot milk	£3.30
Cortado	Espresso cut with warm milk	£2.90
Café Bombón	Espresso with condensed milk	£3.20
Carajillo	Espresso with brandy	£4.50
Cappuccino	Standard	£3.30
Latte	Standard	£3.50
Americano	Standard	£2.80
Mocha	Standard	£3.80
Hot Chocolate	Standard	£3.50
Tea Selection	Various	£2.50

The Iberian coffees are the differentiator. A Bica is not an espresso (it uses a different roast and extraction). A Galão is not a latte (it is served in a tall glass with a different milk ratio). These are genuine differences, and the menu should communicate that. The standard coffees exist for customers who want something familiar on their first visit. Most will try the Iberian options eventually.

Food (from Doce Perdição Bakery)

Item	Description	Price
Pastel de Nata	Custard tart (the star product)	£2.00
Bola de Berlim	Portuguese doughnut with custard cream	£2.80
Queijada de Sintra	Cheese tart	£2.50
Pão de Deus	Sweet coconut bread	£2.20
Travesseiro	Puff pastry with egg cream	£2.80
Tosta Mista	Portuguese ham and cheese toast	£5.50
Croissant (butter)	Classic	£2.00
Croissant (chocolate)	Filled	£2.50
Croissant (almond)	Topped	£2.80

Food (Prepared In House)

Item	Description	Price
Churros con Chocolate	With hot chocolate dip	£5.50
Tortilla Española	Spanish omelette, served as a slice	£4.80
Pan con Tomate	Bread with tomato and olive oil	£3.50
Bocadillo de Jamón	Spanish ham sandwich	£6.50

Drinks

Item	Price
Fresh Orange Juice	£3.50
Portuguese/Spanish Soft Drinks	£2.50 to £3.00
Craft Lemonade	£3.00
Water (still/sparkling)	£1.50
Sangria by the Glass (if licensed)	£5.50

Average customer spend is modelled at £6.20 (one coffee plus one pastry or food item). That is conservative. Many customers will buy a second coffee, add a pastry, or bring a friend. But the model does not assume that.

7. Market Opportunity

The UK coffee shop market generated £6.8 billion in 2024/25, growing at 5.5% year on year. The branded segment alone hit £6.1 billion across 12,229 outlets. Growth is forecast at 5.7% CAGR through to 2030, with the market expected to exceed £8 billion within five years.

That growth is driven partly by volume (more outlets) and partly by premiumisation. Customers are trading up from instant coffee at home to speciality coffee out. They are spending more per visit and visiting more often. The UK now drinks roughly 98 million cups of coffee per day. Coffee culture is firmly established.

The opportunity for Doce Perdição is not in the mainstream of that market. It is in the gap between generic chain coffee and genuine cultural experience. Portuguese cafés have proved there is demand for this in London. Café de Nata grew from one location in 2016 to eight by 2026, specialising entirely in Pastéis de Nata and Portuguese coffee. Lisboa Patisserie in Notting Hill has been a local institution for decades. Café Madeira in Vauxhall serves the Portuguese community in what is known as Little Portugal.

None of these combine Portuguese and Spanish traditions. None of them operate outside London. The commuter belt towns of Surrey, where populations are large and coffee habits are established, have no Iberian café concept at all.

Epsom Specifically

Epsom and Ewell has a population of roughly 83,000, making it the most densely populated borough in Surrey at 2,443 people per square kilometre. The employment rate is 80% and unemployment sits at 2.8%. The median age is 42, which is the core coffee shop demographic (working professionals and retirees with disposable income).

The town centre has strong existing coffee shop competition (Costa, Starbucks, Coffee #1, independent cafés). That is precisely why this plan targets the outskirts. A location slightly outside the high street area offers lower rents (£1,200 to £1,800 per month versus £3,000 or more on the high street), less direct competition from chains, and the potential to become a neighbourhood destination rather than a passing trade café.

8. Competition

Epsom (Direct Competitors)

The high street competitors in Epsom are the usual suspects. Costa Coffee has two locations. Starbucks has one. Coffee #1 operates on the high street. Caffè Nero has a presence. There are also several independent cafés, most of which serve standard coffee and cake menus with no particular cultural identity.

By locating on the outskirts, Doce Perdição avoids direct head to head competition with these chains. The competitive advantage is not being a better Costa. It is being something entirely different in a location where people are looking for a reason to visit.

London (Phase 2 Competitors)

In London, the competitive picture is more complex. Café de Nata has eight locations and is the closest direct competitor in concept (Portuguese café specialising in Pastéis de Nata). Lisboa Patisserie is a Notting Hill institution. Café Madeira serves the Vauxhall Portuguese community. Santa Nata operates near Leicester Square. A Portuguese Love Affair runs a deli and café at the Flower Market.

None of these competitors offer a blended Iberian menu. They are all Portuguese only. That is the differentiator for a London expansion, but London is a Year 5 consideration and not the immediate priority.

Competitive Positioning

Factor	Chain Coffee (Costa etc.)	London Portuguese Cafés	Doce Perdição
Menu	Standard espresso drinks	Portuguese only	Portuguese and Spanish
Food	Generic wholesale pastries	Portuguese pastries	Portuguese bakery + Spanish in house
Atmosphere	Corporate, functional	Authentic but narrow	Full Iberian cultural experience
Price	£3.00 to £5.00	£2.50 to £4.50	£2.50 to £4.50
Location	High street, high rent	London only	Epsom outskirts (pilot), then London
Supply Model	Central kitchen	In house or wholesale	Family bakery partnership

9. Location Strategy

Phase 1 (Years 1 to 4). Epsom Outskirts

The pilot site targets the outskirts of Epsom, not the town centre high street. The high street is saturated with chain coffee shops and rents are significantly higher. A secondary location slightly off the main drag offers several advantages.

Rent is the most obvious one. Commercial units on the Epsom outskirts rent for £1,200 to £1,800 per month for 600 to 800 square feet. The same size on the high street could be £3,000 to £4,500. For a bootstrapped business, that difference is the difference between surviving Year 1 and not.

The second advantage is identity. A café on the high street competes for passing trade against Costa and Starbucks. A café on the outskirts becomes a destination. People come because they have heard about it, because a friend recommended it, because they saw the Pastel de Nata on Instagram. That kind of customer is more loyal and spends more per visit.

The target is a unit of 600 to 800 square feet, ideally with a small frontage for outdoor seating (3 to 4 bistro tables). Residential areas nearby are preferred, as the café will rely on local repeat custom rather than commuter footfall.

Phase 2 (Year 5 Onwards). London

London expansion only happens if the Epsom site is consistently profitable over four years. No exceptions. The business does not take on a second lease until the first one has proved the model works.

The target areas for London are multicultural neighbourhoods where the Iberian café concept fits naturally. Stockwell and Vauxhall (known as Little Portugal, with an established Portuguese community and businesses including Café Madeira). Brixton (diverse food scene, strong independent café culture). Peckham (young, multicultural, food forward). Elephant and Castle (large Latin American and Southern European community).

These are not areas where British traditional culture dominates the high street. They are areas where an Iberian café would feel like a natural addition rather than an oddity. London rents are modelled at £3,800 per month for a similar sized unit, with startup costs of approximately £115,000 for the second site.

10. Revenue Model

Revenue comes from three streams. Coffee is the highest margin product (approximately 78% gross margin) and the primary driver. Bakery pastries and food are the secondary drivers, with lower margins but higher average ticket value when combined with coffee.

Revenue Mix (Estimated)

Category	Share of Revenue	Gross Margin
Coffee	55%	78%
Bakery Pastries (from Doce Perdição)	25%	53%
In House Spanish Food	12%	65%
Cold Drinks and Other	8%	60%

The blended gross margin across all products is approximately 68%. That is healthy for an independent café, where the industry benchmark is 60 to 70%.

Customer Projections (Conservative)

Year	Location	Daily Customers (Avg)	Avg Spend	Operating Days	Annual Revenue
Year 1	Epsom	55	£6.20	312	£106,300
Year 2	Epsom	72	£6.40	312	£143,700
Year 3	Epsom	85	£6.60	312	£174,900
Year 4	Epsom	90	£6.80	312	£190,900
Year 5	Epsom + London	90 + 110	£6.80 / £7.20	312	£437,700

These projections are deliberately half pessimistic. Industry data suggests a well located independent café in a town like Epsom could serve 80 to 120 customers per day once established. This model starts at 55 and ramps slowly. If actual performance beats the model, the business reaches profitability faster than planned.

All revenue figures exclude VAT. Average spend increases by 3% annually to reflect modest price adjustments.

11. Financial Projections

Startup Costs (Epsom)

Item	Estimated Cost
Lease deposit (3 months)	£4,800
Iberian fitout (azulejo tiles, wood, terracotta, lighting)	£22,000
Espresso machine and grinder	£7,500
Commercial baking oven, fridge, mixer, prep area	£8,500
POS system and card terminals	£1,500
Furniture (tables, chairs, bench seating)	£5,500
Signage and branding	£2,500
Initial stock (coffee beans, food, supplies)	£3,000
Licensing and legal	£2,200
Marketing (pre launch and launch)	£3,000
Working capital (3 months reserve)	£12,000
Total	£72,500

The fitout is the largest single cost. The azulejo tile feature wall, warm wood furniture, terracotta paint, ceramic pendant lighting, and copper accents are not optional extras. They are the product. A generic fitout with white walls and IKEA furniture would undermine the entire concept. That said, £22,000 for a full Iberian fitout of a 600 to 800 square foot space is realistic. Hand painted tiles can be substituted with high quality printed ceramic panels at a fraction of the cost. Wood can be sourced from reclaimed timber suppliers. The kitchen equipment budget is higher than a typical café because the premises needs a commercial baking oven and mixer for the on-site pastry production, in addition to the standard espresso and food preparation equipment.

Profit and Loss Summary (5 Year)

	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	£106,300	£143,700	£174,900	£190,900	£437,700
COGS (blended 32%)	£34,000	£46,000	£56,000	£61,100	£140,100
Gross Profit	£72,300	£97,700	£118,900	£129,800	£297,600
Staff Costs	£38,400	£42,000	£45,000	£46,800	£102,000
Rent	£19,200	£19,800	£20,400	£21,000	£66,600
Utilities and Insurance	£7,200	£7,400	£7,600	£7,800	£16,200
Marketing	£4,800	£4,200	£3,600	£3,600	£9,600
Other Operating	£5,400	£5,600	£5,800	£6,000	£13,200
Total Operating Costs	£75,000	£79,000	£82,400	£85,200	£207,600
Net Profit (Loss)	(£2,700)	£18,700	£36,500	£44,600	£90,000
Net Margin	(2.5%)	13.0%	20.9%	23.4%	20.6%

Year 1 shows a small loss. That is realistic for any new café. The business is building its customer base, optimising its operations, and absorbing the inefficiencies of a new team. Break even occurs around Month 10 to 12 under these conservative assumptions.

Year 2 turns profitable with a 13% net margin. By Year 3, the Epsom site is generating meaningful profit at nearly 21% net margin. Year 4 is steady state for Epsom at 23.4%.

Year 5 introduces the London site, which adds significant revenue but also significant cost (higher rent, more staff, second fitout). The blended net margin drops slightly to 20.6% because the London site is in its ramp up phase. The Epsom site is expected to continue at Year 4 levels.

Staff costs include employer NI and pension contributions. Rent includes annual 3% escalation. Year 5 London assumes opening in Month 3 of Year 5 (9 months of operation).

12. Operations and Staffing

Operating Hours

The café operates six days a week, closed on Sundays. Opening hours are 7.00am to 5.00pm, weighted towards the morning and lunchtime trade. Coffee shops make the majority of their revenue before 2.00pm. An early close allows the team to prep for the next day and keeps staffing costs controlled.

If evening demand materialises (particularly for the Sangria and Churros offering), hours could extend to 8.00pm on Fridays and Saturdays. But the base model does not assume this.

Staffing

The initial team is three people. The owner (full time, covering morning shift and management). One full time barista. One part time barista or front of house (covering lunch peaks and days off). Total staff cost in Year 1 is approximately £38,400, which includes employer National Insurance and auto enrolment pension contributions.

Staff wages are modelled at 36% of revenue in Year 1, which is slightly above the industry benchmark of 30 to 35%. That reflects the lower revenue base during ramp up. By Year 3, staff costs as a percentage of revenue drop to 26% as revenue grows faster than headcount.

Supply Chain

Portuguese pastries are baked fresh each morning on the café premises by Doce Perdição bakers. Baking starts at 6am. By opening time at 7am, the pastry cabinet is full and the café smells of freshly baked Pastéis de Nata. Coffee beans are sourced from a Portuguese or Spanish speciality roaster (brands such as Delta Cafés from Portugal or Marcilla from Spain are well regarded and available in the UK wholesale market). In house Spanish food items (churros, tortilla, pan con tomate, bocadillos) are prepared on site each morning using simple, repeatable recipes that any trained staff member can execute.

13. Marketing Strategy

The marketing strategy for a small café on the outskirts of Epsom is fundamentally local. There is no point in paid social media campaigns targeting all of Surrey. The customer base lives within a 10 to 15 minute walk or a short drive.

Pre Launch

Before opening, the café needs local awareness. Leaflet drops to residential streets within a 1 mile radius. A simple website with the menu, location, and story. An Instagram account posting the fitout progress, the pastries being made at the bakery, and behind the scenes content. The Pastel de Nata is one of the most photographed foods on social media. That is free marketing.

Launch

A soft launch for friends, family, and local community (free coffee and pastries for the first weekend). Followed by a grand opening with a small event. Invite local food bloggers and the Epsom community Facebook groups. Offer a simple loyalty card from day one.

Ongoing

Word of mouth is the primary growth channel for any neighbourhood café. The product does the marketing. A Pastel de Nata that someone has never tried before, served warm, with a Bica on the side, creates conversations. People tell friends. Friends visit. The cycle is organic.

Social media stays active but low cost. One to two Instagram posts per week. Stories showing the pastry delivery, the morning coffee prep, the seasonal specials. No paid advertising budget beyond the initial launch period.

Community engagement matters. Partnering with local events (Epsom Food Festival, community markets). Offering catering for small office meetings. Hosting a Portuguese or Spanish cultural evening once a quarter (fado music, a talk about Iberian food culture, a churros making workshop). These are low cost activities that build the café into the local community.

14. Risk Analysis

Bakery Dependency

The single biggest risk. If the Doce Perdição bakery's bakers cannot come in (illness, staffing shortage, personal emergency), the café cannot produce its signature Portuguese pastries that day. The mitigation is the family relationship, which provides better communication and flexibility than a commercial supplier. A secondary mitigation is cross-training at least one café staff member on the simpler recipes (croissants, Tosta Mista) so a basic offering can be maintained on any day the bakers are unavailable. Over time, building up to two trained bakers from the bakery reduces the single person dependency.

Location Footfall

An outskirts location has lower natural footfall than the high street. The café must generate its own traffic through reputation and marketing rather than relying on passing trade. The model accounts for this with a conservative 55 customers per day in Year 1. If actual footfall is lower (say 40 per day), the business still covers its fixed costs but net profit disappears. The owner would need to increase marketing spend or consider relocating. The decision gate at 12 months addresses this.

Competition Response

A chain coffee shop could open nearby. An independent could launch a similar concept. The defence is the partnership. No competitor can replicate the Doce Perdição bakery supply relationship. They would need to find their own Portuguese bakery, which is not straightforward in Surrey. The Iberian identity and atmosphere also take time and investment to copy. First mover advantage in a local market matters.

Economic Downturn

Coffee shops are relatively resilient in downturns. A £6 coffee and pastry is an affordable treat even when budgets are tight. However, customers may trade down from food items to coffee only, reducing average spend. The sensitivity analysis in the financial model tests a 20% reduction in average spend and shows the business still breaks even, although net profit is minimal.

Lease Risk

Commercial leases in the UK typically require 3 to 5 year commitments. If the café fails within the first year, the remaining lease obligation is a significant liability. The mitigation is to negotiate a break clause at 18 or 24 months if possible. Some landlords in secondary locations will agree to this, especially for a new business.

None of these requirements are unusual or difficult to meet. They are standard for any food business in England. The key timing constraint is the premises licence, which must be applied for early enough to allow for the 28 day consultation period and any potential hearings. The Action Plan accounts for this.

The total cost of licences, certificates, and compliance documentation is estimated at £1,800 to £2,500. This falls within the £2,200 budgeted under "Licensing and legal" in the startup costs. The largest single items are the premises licence application (£100 to £190 depending on rateable value), business insurance package (£800 to £1,500 per year), and the licensing qualification course (£100 to £200). Annual recurring costs for music licensing and ICO registration are approximately £500 to £700.

Cost Summary

The following documents must be in place before the café opens to the public. Food business registration confirmation. Premises licence (if alcohol is served from day one, or defer alcohol sales until the licence is granted). Fire risk assessment. Health and safety risk assessment. HACCP food safety documentation (including cleaning schedules, temperature monitoring logs, and supplier traceability records). Allergen information matrix for all menu items. Staff food hygiene certificates. Employment contracts for all staff. Employer liability insurance certificate. Public liability insurance certificate. PRS and PPL music licences. ICO data protection registration (if collecting customer data). Commercial waste contract.

Documents to Produce Before Opening

The premises must be in an appropriate use class for a café. Under the Town and Country Planning (Use Classes) Order, cafés fall within Class E (commercial, business, and service). If the unit was previously used as a shop (also Class E), no change of use application is needed. If it was in a different use class, planning permission for change of use may be required. This should be verified before signing the lease.

Planning and Use Class

Commercial waste. The café must arrange a commercial waste collection contract. Domestic waste collection does not cover business premises. Costs vary by provider and collection frequency but are typically £50 to £150 per month for a small café.

Employment law. All staff must receive a written statement of employment terms on or before their first day of work. The café must comply with National Minimum Wage (or National Living Wage for staff aged 21 and over), provide at least 28 days paid holiday (pro rata for part time staff), auto enrol eligible staff into a workplace pension scheme, and maintain employer liability insurance. Working time regulations limit working hours to 48 per week on average unless the employee opts out in writing.

GDPR and data protection. If the café collects customer data (loyalty card scheme, email marketing list, online booking), it must comply with the UK GDPR and Data Protection Act 2018. For a small café, this means having a simple privacy policy, obtaining consent before sending marketing emails, and registering with the Information Commissioner's Office (annual fee £40 for small organisations).

Music licensing. Playing background music (fado, flamenco guitar, bossa nova) in the café requires two licences. A PRS for Music licence (covers the rights of songwriters and composers, approximately £200 to £400 per year for a small café). And a PPL licence (covers the rights of performers and record labels, approximately £100 to £250 per year). Both are applied for online. If the café ever hosts live

music events, the premises licence would also need to authorise the provision of regulated entertainment.

Allergen compliance (Natasha's Law). Because the pastries are baked fresh on the café premises (not prepacked elsewhere and brought in), they are classified as non-prepacked food, not prepacked for direct sale (PPDS). This means Natasha's Law labelling requirements (ingredient labels with allergens emphasised on each item) do not apply. However, the café must still provide allergen information for all menu items on request. In practice, this means preparing an allergen matrix covering every item on the menu (both bakery items and in-house items) and keeping it available at the counter. Staff must be trained to answer allergen queries accurately. The 14 major allergens must be identified for each product.

HACCP food safety management system. A documented food safety management system based on Hazard Analysis and Critical Control Points is a legal requirement under EU retained food law (Regulation 853/2004). For a small café, this does not need to be elaborate. It should cover safe food storage temperatures, cooking temperatures, cleaning schedules, cross contamination prevention, and allergen management. The Food Standards Agency provides a free template called Safer Food Better Business which is designed for small food businesses.

Food hygiene rating. After registration, an environmental health officer will inspect the premises (usually within 28 days of opening, sometimes unannounced). The café receives a rating from 0 (urgent improvement necessary) to 5 (very good). The rating must be displayed at the premises. A score below 3 is damaging to reputation and may trigger enforcement action. The HACCP system, cleaning records, and temperature logs are what the inspector checks.

Ongoing Compliance

Public liability insurance. Not legally required but essential. Covers claims from customers (slip and fall, allergic reaction, burns). Standard cover is £1 million to £5 million. Included in most business insurance packages.

Employer liability insurance. A legal requirement for any business with employees. Minimum cover is £5 million. The certificate must be displayed in the workplace or made available electronically. This is typically bundled with a business insurance package (approximately £800 to £1,500 per year for a small café).

Fire safety risk assessment. Required under the Regulatory Reform (Fire Safety) Order 2005. The responsible person (the owner) must carry out a fire risk assessment before the premises opens. This covers escape routes, fire detection, extinguishers, and staff training. A professional assessment costs approximately £150 to £300.

Health and safety risk assessment. A general risk assessment covering the premises, equipment, and work activities is a legal requirement under the Management of Health and Safety at Work Regulations 1999. For a small café with fewer than 5 employees, the assessment does not need to be written, but writing it is strongly recommended as evidence of compliance.

Food hygiene certificates. All staff who handle food must hold a Level 2 Food Hygiene Certificate as a minimum. These are available as online courses (approximately £20 to £30 per person) and take half a day to complete. Staff should be certified before the soft launch in Month 5.

Designated Premises Supervisor (DPS). The premises licence must name a DPS who holds a personal licence. For a small café, this will be the owner. The DPS is legally responsible for the day to day management of alcohol sales on the premises.

Personal licence. At least one person on the premises must hold a personal licence to authorise the sale of alcohol. This requires completing a licensing qualification (typically a one day course, approximately £100 to £200) and applying through the local council (application fee £37). The owner should complete this in Month 1.

Premises licence. Because the menu includes alcoholic drinks (Sangria by the glass, Carajillo with brandy, Café com Cheirinho with aguardente), the café needs a premises licence under the Licensing Act 2003. The application goes to the local licensing authority with a fee based on rateable value. There is a mandatory 28 day consultation period, and objections from responsible authorities or local residents can extend the process to 2 to 3 months. The application must be submitted no later than Month 2 to have the licence in place by Month 6 opening.

Food business registration. The café must register as a food business with the local authority (Epsom and Ewell Borough Council) at least 28 days before opening. This is a legal requirement under the Food Safety Act 1990. Registration is free and cannot be refused, but it triggers an environmental health inspection which will result in a food hygiene rating.

Pre Opening Registrations

Opening a café that serves food and alcohol in England requires a range of registrations, licences, and ongoing compliance obligations. This section sets out what is needed, when it must be in place, and what documents the business must produce. The Action Plan includes specific tasks and timelines for each item.

15. Legal and Regulatory Compliance

16. Launch Plan

Pre Launch (Months 1 to 3)

Register the company. Search for a suitable unit on the Epsom outskirts. Formalise the supply agreement with the Doce Perdição bakery. Apply for food hygiene registration and any necessary licensing (premises licence if serving alcohol for the Sangria and Carajillo). Order espresso equipment and furniture. Begin the Iberian fitout once the lease is signed.

Soft Launch (Month 4 to 5)

Complete fitout. Install equipment and run test batches. Hire and train staff on the Iberian coffee menu (Portuguese and Spanish preparations require specific training). Soft launch with friends, family, and a small invite list from the local community. Collect feedback and adjust.

Grand Opening (Month 6)

Full public opening. Marketing push across local channels. Instagram launch. Loyalty card programme starts. The first three months after opening are about building consistent daily footfall and getting the operations right. Expect some waste from over ordering pastries until demand patterns become clear.

Stabilisation (Months 7 to 12)

Optimise stock ordering based on actual demand data. Adjust staffing to match peak and quiet periods. Build the online reviews (Google, TripAdvisor). Start planning seasonal menu additions (winter churros special, summer iced Galão). By Month 10 to 12, the café should be approaching break even if the model holds.

The detailed Action Plan document covers each phase with specific tasks, decision gates, and milestones.

Disclaimer

The financial figures and projections in this business plan are built from publicly available market data, industry benchmarks, and reasonable assumptions based on comparable café businesses in the UK. All modelled figures should be read as directional estimates, not audited numbers.

Revenue projections are deliberately conservative. Actual performance may vary based on location selection, economic conditions, competition, and operational execution. The plan assumes no external investment and a fully bootstrapped launch. Any decision to proceed should be supported by professional financial and legal advice specific to the circumstances.

Competitor information is based on publicly available data as of June 2026. Market conditions, competitor positioning, and industry trends may have changed since the date of this plan.